

FEDERAL MARITIME COMMISSION

46 CFR PARTS 514, 580 AND 581

[DOCKET NO. 93-22]

COLOADING PRACTICES BY NON-VESSEL-OPERATING COMMON CARRIERS:
SHIPPER AFFILIATE ACCESS TO SERVICE CONTRACTS

AGENCY: Federal Maritime Commission.

ACTION: Proposed Rule.

SUMMARY: This proposed rule amends the current coloadng requirements by redefining the term "coloadng" to limit it to the combining of cargo performed pursuant to an agreement between or among non-vessel-operating common carriers ("NVOCCs"). Coloadng would not include cargo for which the receiving NVOCC issues its own bill of lading. Comments are also solicited on a possible alternative definition which would further limit the term coloadng to exclude full containerload cargo. The proposed rule also requires that coloadng agreements be in writing, and be made available to the Commission. The existence of coloadng agreements, including the identity of coloadng parties thereto, would be required to be listed in an NVOCC's tariff. The proposed rule would prohibit coloaded cargo from being carried under a service contract, and also limit the affiliates that may take advantage of service contracts. The proposed rule would continue to require that tendering NVOCCs annotate the identity of receiving NVOCCs on their bills of lading

and the fact that specific cargo was coloaded, that NVOCC tariffs shall not offer special coloaded rates for the exclusive use of other NVOCCs, and that shipments not fitting the coloaded definition must be rated and carried pursuant to the tariff. Although no rule language on these matters is proposed at this time, comment is solicited as well on whether further restrictions should be imposed regarding coloaded cargo applicability to time-volume rates, and on the more fundamental issue of whether coloaded cargo should be prohibited altogether. The revisions to the existing coloaded rules are deemed necessary to clarify ambiguities and to address current practices resulting in the increased application of untariffed NVOCC charges.

DATE: Comments due on or before [insert date 60 days after publication of the Federal Register].

ADDRESS: Send comments (original and 20 copies) to:

Joseph C. Polking
Secretary
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5725

FOR FURTHER INFORMATION, CONTACT:

Wm. Jarrel Smith, Jr.
Director, Bureau of Investigations
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5860

SUPPLEMENTARY INFORMATION:

Experience under the Federal Maritime Commission's ("Commission") coloadng rules at 46 CFR 580.5(d) since their promulgation in 1985 has demonstrated that parts of those rules are less than satisfactory. The rules define coloadng relatively broadly, and then proceed to impose varying regulatory requirements, depending on whether the particular coloadng arrangement establishes a "carrier-to-carrier" or a "carrier-to-shipper" relationship. This regulatory regimen has been found to be unworkable in two general respects.

First, considerable confusion appears to have resulted from the requirement that the nature of the NVOCC-NVOCC coloadng relationship determines the concomitant regulatory responsibilities. The criteria for defining those relationships are not clear. A presumption of a shipper-to-carrier relationship is created when a bill of lading is issued by a receiving NVOCC to the tendering NVOCC, but there are no adequate guidelines on how that presumption may be rebutted.

Second, even if the nature of the NVOCC-NVOCC relationship has been determined, the attendant regulatory requirements are ambiguous, particularly with respect to the NVOCC tariffs required to be filed pursuant to section 8 of the Shipping Act of 1984 ("1984 Act"), 46 U.S.C. app. 1707. Where there is a carrier-to-carrier arrangement, each NVOCC must report the "existence of such agreement" in its tariff. 46 CFR 580.5(d)(14)(ii)(B). While it could be argued that this provision anticipates that NVOCC tariffs

a actually list the parties to these agreements, the view apparently embraced by most NVOCCs is that NVOCCs need only note without further elucidation that a coloadng arrangement exists or that coloadng practices are possible. This view finds some support in the explanatory language which accompanied the promulgation of the rule. Similarly, the current requirement that the tendering NVOCC "shall describe in its tariff its co-loading practices," id. 580.5(d)(14)(ii)(c), is somewhat vague.

These ambiguities appear to encourage many NVOCCs to conclude that a larger percentage of their NVOCC activity constitutes coloadng services pursuant to a "carrier-to-carrier" arrangement than was intended by the present rules. They also foster the belief that the Commission's regulatory requirements are satisfied by the vaguest suggestion in an NVOCC tariff that coloadng services may be provided. As a result, the rates applicable to a substantial amount of NVOCC shipments may be eluding both the general shipping public's and the Commission's scrutiny.

The proposed rule revises the current rule by redefining and narrowing the scope of activity regarded as coloadng. Coloadng would be defined at proposed section 580.5(d)(14)(i) as the combining of cargo pursuant to an agreement between or among NVOCCs, for tendering to an ocean carrier under the name of one of the NVOCC agreement parties, wherein the receiving NVOCC does not issue its own bill of lading to the tendering NVOCC. When such a bill of lading is issued, the tendering NVOCC would continue to rate the cargo according to its tariff: the receiving NVOCC

likewise would rate the cargo according to its tariff rates applicable to all shippers. Thus, coloadng would be identified without resorting to preliminary determinations as to whether the participating NVOCCs have a carrier-to-carrier or a carrier-to-shipper relationship.

The Commission is also soliciting comment on a possible alternative definition to coloadng which would limit such activity to less-than-containerload ("LCL") cargo only. The Commission is particularly desirous of ascertaining the extent and impact of current coloadng practices involving full containerloads ("FCL"), and is interested in industry views on whether the coloadng regulations should be confined to LCL applicability.* This alternative proposal is reflected in the bracketed words "less-than-containerload" at section 580.5(d)(14)(i) of the proposed rule. Consistent with this alternative approach is the bracketed language at proposed section 580.5(d)(14)(iv), governing coloadng rates, which would clarify, should the Commission adopt this course, that coloadng agreements do not pertain to FCL cargo, which must be rated under the tariffed charges. Although not presented as alternative language at this time, the Commission

* The current rule reflects the determination made in 1985 that NVOCCs should not be restricted to coload only LCL cargo. The Commission at the time concluded that coloadng FCLs was less prevalent and less likely than coloadng LCL cargo. Different industry practices appear to have evolved since that time, however, raising the issue whether the current coloadng regulations are inappropriately facilitating the circumvention of NVOCC tariffs.

additionally seeks comment on whether all coloads, for which non-tariffed rates are assessed, should be proscribed.

Proposed section 580.5(d)(14)(ii) prescribes the tariff-filing requirements for NVOCCs with respect to coload activity or inactivity. Where the NVOCC does not tender cargo for coload, it would continue to be required to so indicate, pursuant to section 580.5(d)(14)(ii)(A). Section 580.5(d)(14)(ii)(B) would dictate that where coload takes place, the underlying coload agreement must be made available to the Commission (or authorized Commission personnel) upon request. Coload agreements must be in writing, dated and signed by all parties, and must contain all the applicable rates, charges, financial arrangements and terms.

The proposed rule also resolves the ambiguity in the current rule by requiring that each NVOCC party to a coload agreement must note in its tariff not only the existence of such agreement but also the name and address of each NVOCC with whom it has such an arrangement. Furthermore, this proposed paragraph would affirmatively prohibit the coload of cargo until the tariff of each participating NVOCC reflects the existence of and the names and addresses of the parties to the applicable coload agreement.

While the documentation or annotation requirements of current section 580.5(d)(14)(iii) appear sufficiently clear, they have been modified slightly to emphasize the obligation of tendering NVOCCs to annotate unambiguously on each bill of lading that cargo is being coloaded and the identity of the receiving NVOCC. Where a decision to coload cargo is made after a bill of lading is issued,

compliance with this provision can be achieved by issuing an amended bill of lading or an annotated copy of the bill of lading.

Section 580.5(d)(14)(iv) of the proposed rule contains minor modifications but continues to prohibit NVOCCs from offering rates for the exclusive use of other NVOCCs, and to require that all non-coloaded cargo be rated and carried pursuant to the NVOCCs' tariffs. Alternative language has also been added to section 580.5(d)(14)(iv), as noted supra, which would state that FCL cargo cannot be coloaded and must be rated and carried pursuant to the tariff.

Section 580.5(d)(14)(v) makes reference to the prohibition codified in the proposed amendment to section 581.1 to the effect that coloaded cargo cannot be carried under a service contract.

The Commission also solicits comment on whether existing regulations governing time-volume rates, 46 CFR 580.12, should be amended to expressly proscribe the applicability of such rates to coloaded cargo. For example, it would appear inappropriate to permit NVOCCs to use coloaded cargo to satisfy time-volume rate requirements if other shippers are precluded from combining their cargoes to obtain such rates.

Parallel regulations are proposed for the Tariff Rules provisions of section 514.15(b)(14), including the alternative language regarding LCL and FCL cargo, for which comment is sought.

The Commission is also proposing that an NVOCC that is a signatory to a service contract cannot tender coloaded cargo under a service contract. The 1984 Act contemplates that service

a contract rates are available only to a shipper that enters into a service contract. See 1984 Act sections 3(21) and 8(c). It follows, therefore, that only the contract signatory shipper's cargo can be used to fulfill the shipper's commitment. Coloaded cargo, as defined by section 580.5(d)(14), is not the cargo of the contract shipper, but rather that of some other NVOCC with whom the contract NVOCC has a coloaded relationship. If two or more NVOCCs wish to combine their cargo to obtain a service contract, Congress has provided them the means to do so by joining or forming a shippers' association as defined in section 3(24) of the 1984 Act.

The Commission's service contract rules presently permit an affiliate of a contract party to take advantage of the services under the contract if specifically named in the contract. See 46 CFR 581.4(a)(1)(v). The rules, in essence, impute contract shipper status to direct or indirect affiliates of the contract signatory. This provision, however, requires more than a loose combination of like-minded shippers. It was intended to encompass only those affiliates having a corporate relationship between them, such as entities which own or are owned by contract signatories, or which share common owners with signatories. The Commission is, accordingly, taking this opportunity to amend this provision to make clear that non-affiliated shippers cannot join together to obtain service contract rates except through a shippers' association.

The proposed amendment to existing service contract rules would define the term "affiliate" to mean a company that shares an

ownership interest with another company. This would preclude two unrelated entities from unlawfully sharing the benefits of a service contract by claiming that one is an affiliate of the other. The Commission welcomes comment on whether such ownership interest should be limited to a specified percentage or whether a company should be otherwise effectively controlled by the contract signatory, or vice versa, before it can be considered to be an affiliate.

In summary, the Commission is seeking comment on the following:

1. A proposal to redefine the term "colloading" to mean the combining of cargo pursuant to an agreement, which agreement must be in writing and made available to the Commission;
2. An alternative proposal limiting colloading to ~~less-than-~~containerload cargo;
3. A proposal to prohibit coloaded cargo from being carried under a service contract; and
4. A proposal to define an "affiliate" having access to service contracts.

Although no specific proposal on the following issues is being made at this time, the Commission also seeks comment on:

5. Whether restrictions should be imposed regarding applicability of time-volume rates to coloaded cargo; and
6. Whether colloading should be proscribed altogether.

The Chairman of the Commission certifies pursuant to section 605(b) of the Regulatory Flexibility Act, 5 U.S.C. 605(b), that the

rule will not have a significant economic impact on a substantial number of small entities, including small businesses, small organizational units and small governmental jurisdictions. The proposal does not impose substantial new requirements or proscriptions, but primarily would establish that rates for common carrier services must be contained either in coloadng agreements or in carrier tariffs. To the extent the proposal's new recordkeeping and availability requirements create new obligations, they are only marginally more intrusive than the current regulations, and any resulting impact on small entities would be minimal. Moreover, the proposal's main purpose and effect is to clarify existing regulations and to further ensure compliance with the underlying statutory requirements of the 1984 Act with respect to tariffs and service contracts.

The collection of information requirements contained in this rule have been submitted to OMB for review under section 3504(h) of the Paperwork Reduction Act of 1980, as amended. Public reporting burden for this collection of information is estimated to average two hours per response, including the time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding this burden estimate or any other aspect of the collection of information, including suggestions for reducing this burden, to Norman W. Littlejohn, Director, Bureau of Administration, Federal Maritime Commission, Washington, DC 20573; and to the Office of Information

and Regulatory Affairs, Attention: Desk Officer for the Federal Maritime Commission, Office of Management and Budget, Washington, DC 20503.

List of Subjects in 46 CFR Parts 514 and 580:

Cargo: Cargo vessels; Exports; Harbors; Imports; Maritime carriers; Rates and fares; Reporting and recordkeeping requirements: Water carriers; Water transportation.

Therefore, pursuant to 5 U.S.C. 553 and sections 8 and 17 of the Shipping Act of 1984, 46 U.S.C. app. 1707 and 1716, the Federal Maritime Commission proposes to amend Title 46, Code of Federal Regulations, Parts 514, 580 and 581 as follows:

PART 514 - [AMENDED]

1. The authority citation for Part 514 continues to read as follows:

Authority: 5 U.S.C. 552 and 553; 31 U.S.C. 9701; 46 U.S.C. app. 804, 812, 814-817(a), 820, 833a, 841a, 843, 844, 845, 845a, 845b, 847, 1702-1712, 1714-1716, 1718, 1721 and 1722; and sec. 2(b) of Pub.L. 101-92, 103 Stat. 601.

2. Section 514.15(b)(14) is revised to read as follows:

§ 514.15 Tariff Rules.

* * * * *

(b) * * *

(14) Coloading in foreign commerce. Tariff Rule 14 governs coloaded cargo by NVOCCs in foreign commerce. For the purpose of this section, "coloaded" means the combining of [less-than-containerload] cargo in the import or export foreign commerce of the United States, by two or more NVOCCs pursuant to the rates,

charges and terms of an agreement, for delivery to an ocean carrier under the name of one or more of the NVOCCs, wherein the receiving NVOCC does not issue its own bill of lading to the tendering NVOCC(s) for carriage of the coloaded cargo. Tariff Rule 14 shall contain the following provisions:

(i) Filing requirements.

(A) If an NVOCC does not tender cargo for coload, Tariff Rule 14 shall so indicate. If an NVOCC does tender cargo for coload, Tariff Rule 14 must comply with § 514.15(b)(14)(i)(B).

(B) Each NVOCC must have and make available to the Commission or authorized Commission personnel upon request a true copy of every agreement entered into with one or more NVOCCs to coload cargo. Coload agreements must be in writing, dated and signed by all parties, and include all applicable rates, charges, financial arrangements and terms. Each NVOCC party to a coload agreement must note in Tariff Rule 14 the existence of such agreement, including the name(s) and address(es) of the NVOCC(s) with whom it has such an agreement. Cargo may not be coloaded by NVOCCs until Tariff Rule 14 appropriately reflects the existence of and the names of the parties to the coload agreement.

(ii) Documentation requirements. NVOCCs which tender cargo to another NVOCC for coload shall annotate in a clear and legible manner, on the face of each applicable bill of lading, the identity of the receiving NVOCC and the fact that the cargo was tendered to that NVOCC for coload.

(iii) NVOCC Specific Rates. No NVOCC shall offer in its tariffs rates which are specifically stated as for the exclusive use of other NVOCCs. If cargo is accepted by an NVOCC from another NVOCC other than pursuant to a coloadng agreement, such cargo must be rated and carried under tariff provisions which are applicable to all shippers. [As full containerload cargo does not meet the definition of coloadng, coloadng agreements do not pertain to such cargo, which consequently must be rated under the tariffed charges.]

(iv) Service contracts. Coloaded cargo may not be tendered under a service contract.

* * * * *

PART 580 - [AMENDED]

1. The authority citation for Part 580 continues to read as follows:

Authority: 5 U.S.C. 553; 46 U.S.C. app. 1702-1705, 1707, 1709, 1710-1712, 1714-1716, 1718, and 1721.

2. Section 580.5(d)(14) is revised to read as follows:

§ 580.5 Tariff Contents.

* * * * *

(d) * * *

(14) Special rules and reaulations applicable to coloadng activities of non-vessel-onerating common carriers (NVOCCs).

(i) Definition. For the purpose of this section, "coloadng" means the combining of [less-than-containerload] cargo in the import or export foreign commerce of the United States, by two or more NVOCCs pursuant to the rates, charges and terms of an

agreement, for delivery to an ocean carrier under the name of one or more of the NVOCCs, wherein the receiving NVOCC does not issue its own bill of lading to the tendering NVOCC(s) for carriage of the coloaded cargo.

(ii) Filing requirements.

(A) If an NVOCC does not tender cargo for coload, its tariff(s) shall so indicate. If an NVOCC does tender cargo for coload, its tariff(s) must comply with § 580.5(d)(14)(ii)(B).

(B) Each NVOCC must have and make available to the Commission or authorized Commission personnel upon request a true copy of every agreement entered into with one or more NVOCCs to coload cargo. Coload agreements must be in writing, dated and signed by all parties, and include all the applicable rates, charges, financial arrangements and terms. Each NVOCC party to a coload agreement must note in its tariff the existence of such agreement, including the name(s) and address(es) of the NVOCC(s) with whom it has an agreement. Cargo may not be coloaded by NVOCCs until their tariffs appropriately reflect the existence of and the names of the parties to the coload agreement.

(iii) Documentation requirements. NVOCCs which tender cargo to another NVOCC for coload shall annotate in a clear and legible manner, on the face of each applicable bill of lading, the identity of the receiving NVOCC and the fact that the cargo was tendered to that NVOCC for coload.

(iv) NVOCC Specific Rates. No NVOCC shall offer in its tariffs rates which are specifically stated as for the exclusive

use of other NVOCCs. If cargo is accepted by an NVOCC from another NVOCC other than pursuant to a coload agreement, such cargo must be rated and carried under tariff provisions which are applicable to all shippers. [As full containerload cargo does not meet the definition of coload, coload agreements do not pertain to such cargo, which consequently must be rated under the tariffed charges.]

(v) Service contracts. Coloaded cargo may not be tendered under a service contract.

* * * * *

PART 581 - [AMENDED]

1. The authority citation for Part 581 continues to read as follows:

Authority: 5 U.S.C. 553; 46 U.S.C. app. 1702, 1706, 1707, 1709, 1712, 1714-1716, 1718, and 1721.

2. Section 581.1 is amended by redesignating paragraphs (b) through (u) as (c) through (v) and by adding a new paragraph (b) reading as follows:

§ 581.1 Definitions.

* * * * *

(b) Affiliate means a company which owns or is owned by a contract party or which shares a common owner with a contract party.

* * * * *

3. Section 581.3 is amended by redesignating paragraph (e) as paragraph (e)(1) and by adding a new subparagraph (2) reading as follows:

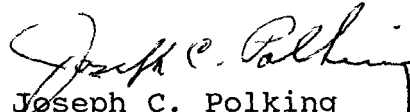
§ 581.3 Filing and maintenance of service contract materials.

* * * *

(e) (1) * * *

(2) An NVOCC that enters into a service contract cannot tender coloaded cargo, as defined in sections 580.5(d)(14) and 514.15(b)(14) of this chapter, to be carried under the contract.

By the Commission.


Joseph C. Polking
Secretary

Commodity	Parts per million
Poultry, fat	0.2
Poultry, meat	0.2
Poultry, mbyp	0.2
Sheep, fat	0.2
Sheep, meat	0.2
Sheep, mbyp	0.2
soybeans	10.0

PART 186—[AMENDED]

2. In part 186:

a. The authority citation for part 186 continues to read as follows:

Authority: 21 U.S.C. 348

b. By revising § 186.1075, to read as follows:

§ 186.1075 Clethodim ((E)-±)-2-[1-[(3-chloro-2-propenyl)oxy]imino]propyl]-5-[2-(ethylthio)propyl]-3-hydroxy-2-cyclohexen-1-one); tolerances for residues.

Tolerances are established for residues of the herbicide clethodim ((E)-±)-2-[1-[(3-chloro-2-propenyl)oxy]imino]propyl]-5-[2-(ethylthio)propyl]-3-hydroxy-2-cyclohexen-1-one and its metabolites containing the 2-cyclohexen-1-one moiety in or on the following feeds.

Feed	Parts per million
Cottonseed meal	2.0
Soybean soapstock	15.0

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BILLING CODE 6560-60-F

FEDERAL MARITIME COMMISSION

46 CFR Parts 514,560 and 581

[Docket No. 93-22]

Coloading Practicer by Nan-Vessel-Operating Common Carriers; Shipper Affiliate Access to Service Contracts

AGENCY: Federal Maritime Commission.

ACTION: Proposed rule.

SUMMARY: This proposed rule amends the current coloadng requirements by redefining the term "coloadng" to limit it to the combining of cargo performed pursuant to an agreement between or among non-vessel-operating common carriers ("NVOCCs"). Coloadng would not include cargo for which the receiving NVOCC issues its own bill of lading. Comments are also solicited on a possible alternative definition which would further limit the term coloadng to exclude full containerload cargo. The proposed rule also requires that coloadng agreements be in writing, and be made available to the Commission.

The existence of coloadng agreements, including the identity of coloadng parties thereto, would be required to be listed in an NVOCC's tariff. The proposed rule would prohibit coloaded cargo from being carried under a service contract, and also limit the affiliates that may take advantage of service contracts. The proposed rule would continue to require that tendering NVOCCs annotate the identity of receiving NVOCCs on their bills of lading and the fact that specific cargo was coloaded, that NVOCC tariffs shall not offer special coloadng rates for the exclusive use of other NVOCCs, and that shipments not fitting the coloadng definition must be rated and carried pursuant to the tariff. Although no rule language on these matters is proposed at this time, comment is solicited as well on whether further restrictions should be imposed regarding coloaded cargo applicability to time-volume rates, and on the more fundamental issue of whether coloadng should be prohibited altogether. The revisions to the existing coloadng rules are deemed necessary to clarify ambiguities and to address current practices resulting in the increased application of untariffed NVOCC charges.

DATES: Comments due on or before January 24, 1994.

ADDRESSES: Send comments (original and 20 copies) to: Joseph C. Polking, Secretary, Federal Maritime Commission, 800 North Capitol St., NW., Washington, DC 20573., (202) 523-5725.

FOR FURTHER INFORMATION CONTACT: Wm. Jarrel Smith, Jr., Director, Bureau of Investigations, Federal Maritime Commission, 800 North Capitol Street NW., Washington, DC 20573, (202) 523-5880.

SUPPLEMENTARY INFORMATION: Experience under the Federal Maritime Commission's ("Commission") coloadng rules at 46 CFR 580.5(d) since their promulgation in 1985 has demonstrated that parts of those rules are less than satisfactory. The rules define coloadng relatively broadly, and then proceed to impose varying regulatory requirements, depending on whether the particular coloadng arrangement establishes a "carrier-to-carrier" or a "carrier-to-shipper" relationship. This regulatory regimen has been found to be unworkable in two general respects.

First, considerable confusion appears to have resulted from the requirement that the nature of the NVOCC/NVOCC coloadng relationship determines the concomitant regulatory responsibilities. The criteria for defining those

relationships are not clear. A presumption of a shipper-to-carrier relationship is created when a bill of lading is issued by a receiving NVOCC to the tendering NVOCC, but there are no adequate guidelines on how that presumption may be rebutted.

Second, even if the nature of the NVOCC/NVOCC relationship has been determined, the attendant regulatory requirements are ambiguous, particularly with respect to the NVOCC tariffs required to be filed pursuant to section 8 of the Shipping Act of 1984 ("1984 Act"), 46 U.S.C. app. 1707. Where there is a carrier-to-carrier arrangement, each NVOCC must report the "existence of such agreement" in its tariff. 46 CFR 580.5(d)(14)(ii)(B). While it could be argued that this provision anticipates that NVOCC tariffs actually list the parties to these agreements, the view apparently embraced by most NVOCCs is that NVOCCs need only note without further elucidation that a coloadng arrangement exists or that coloadng practices are possible. This view finds some support in the explanatory language which accompanied the promulgation of the rule. Similarly, the current requirement that the tendering NVOCC "shall describe in its tariff its co-loadng practices," *id.* 580.5(d)(14)(ii)(C), is somewhat vague.

These ambiguities appear to encourage many NVOCCs to conclude that a larger percentage of their NVOCC activity constitutes coloadng services pursuant to a "carrier-to-carrier" arrangement than was intended by the present rules. They also foster the belief that the Commission's regulatory requirements are satisfied by the vaguest suggestion in an NVOCC tariff that coloadng services may be provided. As a result, the rates applicable to a substantial amount of NVOCC shipments may be eluding both the general shipping public's and the Commission's scrutiny.

The proposed rule revises the current rule by redefining and narrowing the scope of activity regarded as coloadng. Coloadng would be defined at proposed § 580.5(d)(14)(i) as the combining of cargo pursuant to an agreement between or among NVOCCs, for tendering to an ocean carrier under the name of one of the NVOCC agreement parties, wherein the receiving NVOCC does not issue its own bill of lading to the tendering NVOCC. When such a bill of lading is issued, the tendering NVOCC would continue to rate the cargo according to its tariff; the receiving NVOCC likewise would rate the cargo according to its tariff rates applicable to all shippers. Thus, coloadng would be identified

without resorting to preliminary determinations as to whether the participating NVOCCs have a carrier-to-carrier or a carrier-to-shipper relationship.

The Commission is also soliciting comment on a possible alternative definition to coloaded which would limit such activity to less-than-containerload ("LCL") cargo only. The Commission is particularly desirous of ascertaining the extent and impact of current coloaded practices involving full containerloads ("FCL"), and is interested in industry views on whether the coloaded regulations should be confined to LCL applicability.* This alternative proposal is reflected in the bracketed words "less-than-containerload" at § 580.5(d)(14)(i) of the proposed rule. Consistent with this alternative approach is the bracketed language at proposed § 580.5(d)(14)(iv), governing coloaded rates, which would clarify, should the Commission adopt this course, that coloaded agreements do not pertain to FCL cargo, which must be rated under the tariffed charges. Although not presented as alternative language at this time, the Commission additionally seeks comment on whether all coloaded, for which non-tariffed rates are assessed, should be proscribed.

Proposed § 580.5(d)(14)(ii) prescribes the tariff-filing requirements for NVOCCs with respect to coloaded activity or inactivity. Where the NVOCC does not tender cargo for coloaded, it would continue to be required to so indicate, pursuant to § 580.5(d)(14)(ii)(A). Section 580.5(d)(14)(ii)(B) would dictate that where coloaded takes place, the underlying coloaded agreement must be made available to the Commission (or authorized Commission personnel) upon request. Coloaded agreements must be in writing, dated and signed by all parties, and must contain all the applicable rates, charges, financial arrangements and terms.

The proposed rule also resolves the ambiguity in the current rule by requiring that each NVOCC party to a coloaded agreement must note in its tariff not only the existence of such agreement but also the name and address of each NVOCC with whom it enters such an arrangement. Furthermore, this proposed paragraph would

affirmatively prohibit the coloaded of cargo until the tariff of each participating NVOCC reflects the existence of and the names and addresses of the parties to the applicable coloaded agreement.

While the documentation or annotation requirements of current § 580.5(d)(14)(iii) appear sufficiently clear, they have been modified slightly to emphasize the obligation of tendering NVOCCs to annotate unambiguously on each bill of lading that cargo is being coloaded and the identity of the receiving NVOCC. Where a decision to coload cargo is made after a bill of lading is issued, compliance with this provision can be achieved by issuing an amended bill of lading or an annotated copy of the bill of lading. Section 580.5(d)(14)(iv) of the proposed rule contains minor modifications but continues to prohibit NVOCCs from offering rates for the exclusive use of other NVOCCs, and to require that all non-coloaded cargo be rated and carried pursuant to the NVOCCs' tariffs. Alternative language has also been added to § 580.5(d)(14)(iv), as noted *supra*, which would state that FCL cargo cannot be coloaded and must be rated and carried pursuant to the tariff.

Section 580.5(d)(14)(v) makes reference to the prohibition codified in the proposed amendment to section 581.1 to the effect that coloaded cargo cannot be carried under a service contract.

The Commission also solicits comment on whether existing regulations governing time-volume rates, 46 CFR 580.12, should be amended to expressly proscribe the applicability of such rates to coloaded cargo. For example, it would appear inappropriate to permit NVOCCs to use coloaded cargo to satisfy time-volume rate requirements if other shippers are precluded from combining their cargoes to obtain such rates.

Parallel regulations are proposed for the Tariff Rules provisions of § 514.15(b)(14), including the alternative language regarding LCL and FCL cargo, for which comment is sought.

The Commission is also proposing that an NVOCC that is a signatory to a service contract cannot tender coloaded cargo under a service contract. The 1984 Act contemplates that service contract rates are available only to a shipper that enters into a service contract. See 1984 Act sections 3(21) and 8(c). It follows, therefore, that only the contract signatory shipper's cargo can be used to fulfill the shipper's commitment.

Coloaded cargo, as defined by § 580.5(d)(14), is not the cargo of the contract shipper, but rather that of some

other NVOCC with whom the contract NVOCC has a coloaded relationship. If two or more NVOCCs wish to combine their cargo to obtain a service contract, Congress has provided them the means to do so by joining or forming a shippers' association as defined in section 3(24) of the 1984 Act.

The Commission's service contract rules presently permit an affiliate of a contract party to take advantage of the services under the contract if specifically named in the contract. See 46 CFR 581.4(a)(1)(v). The rules, in essence, impute contract shipper status to direct or indirect affiliates of the contract signatory. This provision, however, requires more than a loose combination of like-minded shippers. It was intended to encompass only those affiliates having a corporate relationship between them, such as entities which own or are owned by contract signatories, or which share common owners with signatories. The Commission is, accordingly, taking this opportunity to amend this provision to make clear that non-affiliated shippers cannot join together to obtain service contract rates except through a shippers' association.

The proposed amendment to existing service contract rules would define the term "affiliate" to mean a company that shares an ownership interest with another company. This would preclude two unrelated entities from unlawfully sharing the benefits of a service contract by claiming that one is an affiliate of the other. The Commission welcomes comment on whether such ownership interest should be limited to a specified percentage or whether a company should be otherwise effectively controlled by the contract signatory, or vice versa, before it can be considered to be an affiliate.

In summary, the Commission is seeking comment on the following:

1. A proposal to redefine the term "coloaded" to mean the combining of cargo pursuant to an agreement, which agreement must be in writing and made available to the Commission;
2. An alternative proposal limiting coloaded to less-than-containerload cargo;
3. A proposal to prohibit coloaded cargo from being carried under a service contract; and
4. A proposal to define an "affiliate" having access to service contracts.

Although no specific proposal on the following issues is being made at this time, the Commission also seeks comment on:

5. Whether restrictions should be imposed regarding applicability of time, volume rates to coloaded cargo; and

*The current rule reflects the determination made in 1985 that NVOCCs should not be restricted to coload only LCL cargo. The Commission at the time concluded that coloaded FCLs was less prevalent and less likely than coloaded LCL cargo. Different industry practices appear to have evolved since that time, however, raising the issue whether the current coloaded regulations are inappropriately facilitating the circumvention of NVOCC tariffs.

6. **Whether** coloadng should be proscribed altogether.

The Chairman of the Commission certifies pursuant to section 605(b) of the Regulatory Flexibility Act, 5 U.S.C. 605(b), that the rule will not have a significant economic impact on a substantial number of small entities, including small businesses, small organizational units and small governmental jurisdictions. The proposal does not impose substantial new requirements or proscriptions, but primarily would establish that rates for common **carrier** services must be contained either in coloadng agreements or in carrier tariffs. To the extent the proposal's new recordkeeping and availability requirements create new obligations, they are only marginally more intrusive than the current regulations, and any resulting impact on small entities would be **minimal**. Moreover, the proposal's main purpose and effect is to clarify existing regulations and to further ensure compliance with the underlying statutory requirements of the 1984 Act with respect to tariffs and service contracts.

The collection of information requirements contained in this rule have been submitted to **OMB** for review under section 3504(h) of the Paperwork Reduction Act of 1960, as amended. Public reporting burden for this collection of information is estimated to average two hours per response, including the time for reviewing instructions, **searching** existing data sources, **gathering** and maintaining the data needed, and completing and **reviewing** the collection of information. Send comments regarding this burden estimate or any other aspect of the collection of information, including suggestions for reducing this burden, to Norman W. Littlejohn, Director, Bureau of Administration, Federal Maritime Commission, Washington, DC 20573; and to the Office of Information and Regulatory Affairs, Attention: Desk Officer for the Federal Maritime Commission, Office of Management and Budget, Washington, DC 20503.

List of Subjects in 46 CFR Parts 514, 580 and 581

Cargo; Cargo vessels; Exports; Harbors; Imports; Maritime carriers, Rates and fares; Reporting and recordkeeping requirements: Water carriers: Water transportation.

Therefore, pursuant to 5 U.S.C. 553 and sections 8 and 17 of the Shipping Act of 1984, 46 U.S.C. app. 1707 and 1716, the Federal Maritime Commission proposes to amend title 46, Code of

Federal Regulations, parts 514, 580 and 581 as follows:

PART 514—[AMENDED]

1. The authority citation for part 514 continues to read as follows:

Authority: 5 U.S.C. 552 and 553.31 U.S.C. 9701; 46 U.S.C. app. 804, 812, 814–817(a), 820, 833a, 841a, 843, 844, 845, 845a, 845b, 847, 1702–1712, 1714–1716, 1718, 1721 and 1722; and sec. 2(b) of Public Law 101–92, 103 Stat. 601.

2. Section 514.15(b)(14) is revised to read as follows:

§514.15 Tariff Rules.

• * * * *

(b) * * *

(14) Coloadng in foreign commerce.

Tariff Rule 14 governs coloadng by NVOCCs in foreign commerce. For the purpose of this section, coloadng means the combining of (less-than-containerload) cargo in the import or export foreign commerce of the United States, by two or more NVOCCs pursuant to the rates, charges and terms of an agreement, for delivery to an ocean carrier under the name of one or more of the NVOCCs, wherein the receiving NVOCC does not issue its own bill of lading to the tendering NVOCC(s) for carriage of the coloaded cargo. **Tariff Rule 14** shall contain the following provisions:

(i) Filing requirements.

(A) If an NVOCC does not tender cargo for coloadng, **Tariff Rule 14** shall so indicate. If an NVOCC does tender cargo for coloadng, **Tariff Rule 14** must comply with § 514.15(b)(14)(i)(B).

(B) Each NVOCC must have and make available to the Commission or authorized Commission personnel upon request a true copy of every agreement entered into with one or more NVOCCs to coload cargo. Coloadng agreements must be in writing, dated and signed by all parties, and include all applicable rates, charges, financial arrangements and terms. Each NVOCC party to a coloadng agreement must note in **Tariff Rule 14** the existence of such agreement, including the name(s) and address(es) of the NVOCC(s) with whom it has such an agreement. Cargo may not be coloaded by NVOCCs until **Tariff Rule 14** appropriately reflects the existence of and the names of the parties to the coloadng agreement.

(ii) Documentation requirements.

NVOCCs which tender cargo to another NVOCC for coloadng shall annotate in a clear and legible manner, on the face of each applicable bill of lading, the identity of the receiving NVOCC and the fact that the cargo was tendered to that NVOCC for coloadng.

(iii) **NVOCC Specific Rates.** No NVOCC shall offer in its tariffs rates which are specifically stated as for the exclusive use of other NVOCCs. If cargo is accepted by an NVOCC from another NVOCC other than pursuant to a coloadng agreement, such cargo must be rated and carried under tariff provisions which are applicable to all shippers. (As full containerload cargo does not meet the definition of coloadng, caloadng agreements do not pertain to such cargo, which consequently must be rated under the tariffed charges.)

(iv) **Service contracts.** Coloaded cargo may not be tendered under a service contract.

* * * * *

PART 580—[AMENDED]

1. The authority citation for part 580 continues to read as follows:

Authority: 5 U.S.C. 553; 46 U.S.C. app. 1702–1705, 1707, 1709, 1710–1712, 1714–1716, 1718, and 1721.

2. Section 580.5(d)(14) is revised to read as follows:

§580.5 Tariff contents.

• * * * *

• * * * *

(14) Special rules and regulations applicable to coloadng activities of non-vessel-operating common carriers (NVOCCs)—(i) Definition.

For the purpose of **this** section, **coloadng** means the combining of (less-than-containerload) cargo in the import or export foreign commerce of the United States, by two or more NVOCCs pursuant to the rates, charges and terms of an agreement, for delivery to an ocean carrier under the name of one or more of the NVOCCs, wherein the receiving NVOCC does not issue its own bill of lading to the tendering NVOCC(s) for carriage of the coloaded cargo.

(ii) **Filing requirements.** (A) If an NVOCC does not tender cargo for coloadng, its tariff(s) shall so indicate. If an NVOCC does tender cargo for coloadng, its tariff(s) must comply with § 580.5(d)(14)(ii)(B).

(B) Each NVOCC must have and make available to the Commission or authorized Commission personnel upon request a true copy of every agreement entered into with one or more NVOCCs to coload cargo. Coloadng agreements must be in writing, dated and signed by all parties, and include all the applicable rates, charges, financial arrangements and terms. Each NVOCC party to a coloadng agreement must note in its tariff the existence of such agreement, including the name(s) and address(es) of the NVOCC(s) with whom

it has an agreement. Cargo may not be coloaded by NVOCCs until their tariffs appropriately reflect the existence of and the names of the parties to the coload agreement.

(iii) **Documentation requirements.** NVOCCs which tender cargo to another NVOCC for coload shall annotate in a clear and legible manner, on the face of each applicable bill of lading, the identity of the receiving NVOCC and the fact that the cargo was tendered to that NVOCC for coload.

(iv) **NVOCC Specific Rates.** No NVOCC shall offer in its tariffs rates which are specifically stated as for the exclusive use of other NVOCCs. If cargo is accepted by an NVOCC from another NVOCC other than pursuant to a coload agreement, such cargo must be rated and carried under tariff provisions which are applicable to all shippers. (As full containerload cargo does not meet the definition of coload, coload agreements do not pertain to such cargo, which consequently must be rated under the tariff charges.)

(v) **Service contracts.** Coloaded cargo may not be tendered under a service contract.

* * *

PART 581—[AMENDED]

1. The authority citation for part 581 continues to read as follows:

Authority: 5 U.S.C. 553; 46 U.S.C. app 1702, 1706, 1707, 1709, 1712, 1714–1716, 1718, and 1721

2 Section 581.1 is amended by redesignating paragraphs (b) through (u) as (c) through (v) and by adding a new paragraph (b) reading as follows:

§ 581.1 Definitions.

* * *

(b) Affiliate means a company which owns or is owned by a contract party or which shares a common owner with a contract party.

* * *

3. Section 581.3 is amended by redesignating the text of paragraph (e) as paragraph (e)(1) and by adding a new paragraph (e)(2) reading as follows:

581.3 Filing and maintenance of service contract materials.

* * *

(1) . . .

(2) An NVOCC that enters into a service contract cannot tender coloaded cargo, as defined in §§ 580.5(d)(14) and 514.15(b)(14) of this chapter, to be carried under the contract.

By the Commission.

Joseph C. Polking,

Secretary

[FR Doc 93-28763 Filed x1-23-93; 8:45 am]

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FEDERAL COMMUNICATIONS COMMISSION

47 CFR Parts 32 and 64

[Common Carrier Docket No. 93-251; FCC 93-453]

Transactions Between Carriers and Their Nonregulated Affiliates

AGENCY: Federal Communications Commission.

ACTION: Notice of proposed rulemaking.

SUMMARY: The Federal Communications Commission ("FCC" or "Commission") has adopted a Notice of Proposed Rulemaking ("Notice") proposing to amend its affiliate transactions rules. The Notice also proposes specific procedures for telephone companies to use in implementing the proposed rules. The FCC issued this Notice to enhance its ability to keep telephone companies from imposing the costs of nonregulated activities on interstate ratepayers, and to keep ratepayers from being harmed by the telephone companies' imprudence.

DATES: Comments are due December 10, 1993. Reply comments are due January 10, 1994.

ADDRESSES: All comments should be filed with the Office of the Secretary, Federal Communications Commission, Washington, DC 20554. A copy should be sent to William A. Kehoe III, Accounting and Audits Division, 2000 L Street, NW., Washington, DC 20554.

FOR FURTHER INFORMATION CONTACT: William A. Kehoe III, telephone number 202-632-7500s

SUPPLEMENTARY INFORMATION:

1. This is a summary of the FCC's Notice of Proposed Rulemaking ("Notice") in amendment of parts 32 and 64 of the Commission's Rules to Account for Transactions Between Carriers and Their Nonregulated Affiliates, FCC No. 93-453, CC Docket No. 93-251, adopted September 23, 1993 and released October 20, 1993. The full text of the Notice is available for inspection and copying during normal business hours in the FCC Reference center, Room 230.1919 M St., NW., Washington, DC. The full text will be published in the *FCC Record* and may also be purchased from the Commission's copy contractor, the International Transcription Service, 202-857-3800, 2100 M Street, NW., suite 140, Washington, DC 20037.

2. In the *Notice*, the Commission proposes to amend the valuation methods that the affiliate transactions rules require telephone companies to use in recording their transactions with their nonregulated affiliates in the accounts maintained under the Commission's Uniform System of Accounts, 47 CFR part 32. To reflect distinctions the marketplace draws between arm's length and affiliate transactions, we propose to reduce the affiliate transactions rules' reliance on the prices the providing affiliate charges non-affiliates for similar transactions. The affiliate transactions rules presently require telephone companies to record affiliate transactions at those prices whenever the providing affiliate also provides substantial quantities of the asset or service to non-affiliates. We propose to limit this valuation method (referred to as prevailing company pricing) to affiliate transactions in which the nonregulated affiliate in the transaction sells at least 75 percent of its output to non-affiliates. We also invite comment on whether we should abandon prevailing company pricing as a valuation method for all affiliate transactions if we find no workable test for determining when prevailing company prices provide reliable measures of how affiliate transactions should be valued.

3. To keep carriers from imposing the costs of nonregulated activities on interstate ratepayers and to keep ratepayers from being harmed by carrier imprudence, the Commission also proposes to change the valuation methods for affiliate transactions that are neither tariffed nor eligible for prevailing company pricing. We propose that all such transactions be recorded at the lower of cost and estimated fair market value when the telephone company is the buyer, and at the higher of cost and estimated fair market value when the telephone company is the seller. Under the present rules, those valuation methods are used only for non-tariffed asset transfers that are ineligible for prevailing company pricing. When affiliate transactions involve the provision of non-tariffed services that are ineligible for prevailing company pricing, the existing rules require the transactions to be recorded at the providing affiliates' fully distributed costs.

4. In the Notice, we tentatively conclude that any changes we make in the valuation methods for affiliate transactions should be exogenous for price cap purposes. Although we believe that deviations from the valuation methods specified in the rules generally should be prohibited, we